



PAIN AHEAD

- The seafood segment is likely to be the hardest hit because of its high exposure to the US
- Electronics and pharma exports too may face some headwinds

PRODUCT GROUP	SHARE OF US IN INDIA'S EXPORTS (%)	TARIFFS ON INDIA POST RECIPROCAL LEVY (MFN+ NEW) (%)	IMPACT OF TARIFFS ON INDIA'S EXPORTS TO USA (%)
Fish and crustaceans	32.6	26	-20.2
Petroleum products	4.3	13.8	-5.2
Organic chemicals	17.3	12.4	-2.2
Pharmaceuticals	54.5	0	2.1
Electrical, smart-phone, electronics products	35.8	26.7	-12

SOURCE GTRI

main question remains as to what condition the US economy and consumer demand will be in. Several reports suggest that the US could possibly enter a recession,” he points out, adding that retaliatory tariffs by other countries will also slow global trade and impact Indian exports.

With exports still a small part of the Indian growth engine—and exports to the US are smaller still—experts believe that the direct impact may be lower than anticipated.

A report by CareEdge Ratings says that India’s direct export loss from higher tariffs could be limited to \$9-13 billion, which is 0.2-0.3% of its GDP. “India’s domestically driven economy may offer some resilience,” it noted, adding that lower reciprocal tariffs could provide the country a

competitive advantage over other Asian exporters.

Nonetheless, the reciprocal tariffs add to global economic concerns. Volatility is likely to persist in global financial markets, and it remains to be seen how countries will retaliate to reciprocal tariffs, it further warned.

“With goods exports to the US at 2.1% of GDP (total) and 1.7% of GDP (excluding energy and pharma, which are exempt from tariff hikes), the direct impact will likely be less severe,” said a recent report by Morgan Stanley, which has estimated a downside risk of 30-60 basis points to its FY26 growth estimate of 6.5% for India. It warned that a slowdown in US growth and weak global trade will impact external demand. “More importantly, we expect the impact to be more pronounced through

the indirect channel of weaker corporate confidence, which will dent the risk appetite and further defer the capex cycle.”

Industry, too, is gloomy and some of the worst hit sectors such as gems and jewellery, engineering goods and shrimp are reporting a loss in production and markets in the near term. Hopes are pinned on the successful conclusion of the BTA in coming months that could offer some reprieve from the high tariffs.

Pankaj Chadha, Chairman of the Engineering Exports Promotion Council, notes that engineering goods are India’s largest export to the US, valued at about \$20 billion. “The sector has already been hit by the 25% tariff on steel and aluminium. We will see a \$4-5 billion hit from higher tariffs on Indian exports this fiscal and there could be a reduction of 20-25% in our exports in the first year,” he says.

Kirit Bhansali, Chairman of the Gem and Jewellery Export Promotion Council, says the tariff puts at risk exports worth \$10 billion to the US, which is India’s biggest market, including \$5.6 billion of cut and polished diamonds and \$2.54 billion of studded jewellery. “At present, we are exploring all possible solutions to safeguard our industry’s long-term interests in the US market,” he says.

An equally sombre mood prevails for India’s growing medical devices industry and shrimp exporters. (See box: *Sectors Brace For ‘Liberation’ Jolt*)

The silver lining is that US tariffs on India are significantly lower than those on competitors like China (104%, including the 20% tariff imposed earlier), Vietnam (46%) and Thailand (37%).